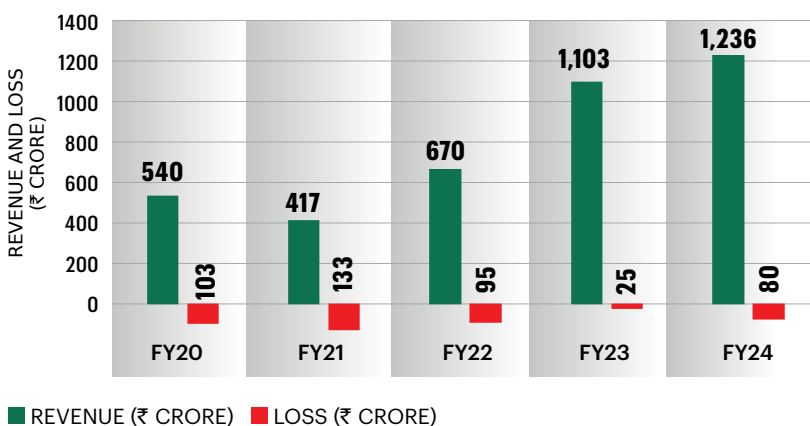


 TATA STARBUCKS	 BLUE TOKAI	 THIRD WAVE COFFEE ROASTERS
NO OF STORES		
487+	133	150
NO OF LOCATIONS		
70+	10+	11
REVENUE (FY24)		
₹1,236 CR	₹221 CR	₹248 CR
LOSS (FY24)		
₹80 CR	₹63 CR	₹110 CR

WHAT DO THE NUMBERS SAY

- Aggressive expansion played a significant role in its losses
- Price remains Starbucks' Achilles' heel in India's evolving coffee war



SOURCE TRACXN AND COMPANY DATA

decade, the narrative has shifted.

Coffee is no longer just a beverage; it's a lifestyle marker, especially among India's urban millennials and the Gen Z, who see café outings as social currency or working remotely.

According to a study commissioned by the Coffee Board of India, the country's overall coffee consumption rose to 91,000 tonnes (in green bean equivalent or GBE) in 2023, up from 84,000 tonnes in 2012. While the growing popular-

ity of instant coffee has boosted in-home consumption, it's the out-of-home segment—cafés, co-working spaces, and quick service restaurant (QSR) formats—that has truly transformed the coffee culture in India.

Recognising the cultural shift, Tata Starbucks has been making a conscious effort to localise its products. The brand has rolled out region-specific snacks such as the *Dakshin* puff in Bengaluru, Malabari egg puff and *Kosha Mangsho* wrap in Kolkata, and an 'inverted' *vada pav* in Mumbai. These items don't just add flavour—they deepen the brand's cultural resonance across its growing footprint. To target Gen Zers, it has introduced colourful and lighter coffees with less dairy content.

The push towards localisation seems all the more critical when viewed against Starbucks's missteps in Australia, where rapid expansion, failure to adapt to local coffee preferences, and stiff competition from homegrown cafes led to a major retreat.

Starbucks' global reputation has taken a hit recently, not just in Australia. Former CEO Laxman Narasimhan resigned after only a year, and the company is now led by Brian Niccol—its fourth CEO in just two years. During Narasimhan's tenure, the coffee giant faced significant challenges, including a decline in global sales. The struggles point to deeper issues in Starbucks' evolving business model, which has shifted from a sit-down café experience to a focus on drive-thru and mobile orders. In India, Tata Starbucks appears keen to not repeat them.

FRANCHISE MODEL

When it entered the Indian market, Starbucks consciously